inadequate food stocks, slippages in the targets of the fiscal consolidation, checking real estate bubbles, and energy prices.

The last time inflation went in double digits it was in the fiscal 1991–92 when it was at 13.6 per cent by 1997–98, though it moderated to the level of 3.5 per cent later.[48]

An analysis of inflationary trends in India does not pin-point any one reason behind it. The economists have pointed out all possible reasons (the so-called ***'good'*** and ***'bad'***) behind the inflationary pressures in the economy of which we may have a brief review:

1. Structural Inflation

With few exceptional years, India has been facing the typical problem of bottleneck inflation (***i.e structural inflation***) which arises out of shortfalls in the supply of goods, a general crisis of a developing economy, rising demand but lack of investible capital to produce the required level of goods.[49] Whenever the Government managed to go for higher growths by managing higher investible capital it had inflationary pressures on the economy (seen during 1970s and 1980s, specially) and growth was sacrificed at the altar of lower inflation (which was politically more justified)[50]. Thus the supply-side mismatch remained a long-drawn problem in India for higher inflation. After some time even if the government managed higher expenditure, most of it was eaten by the non-developmental areas which did show low growth with higher inflation signs of a stagnating economy.

2. Cost-Push Inflation

Due to 'inflation tax' the price of goods and services in India have been rising as the Government took alternative recourse to increase its revenue receipts.[51] We see it taking place due to higher ***import duties*** on the raw materials also.[52] The ***non-value-added*** (non-VAT) tax structure of India in the past was also having cascading effect on the prices of commodities in the country.[53] The Government needed higher revenues to finance its planned development thus the above given factors looked inescapable!